ECONOMIC SURVEYS

ARCHIVES
RESEARCHER
DOCUMENTATION

IRELAND

I. 2. b. 4.

ORGANISATION FOR ECONOMIC
CO-OPERATION AND DEVELOPMENT
PARIS MARCH 1965

BASIC STATISTICS OF IRELAND

THE LAND

Area (thousand sq.km.)	69
Agricultural area (av. 1960-1961/1963-64) as % of total area	67
Population of major cities, with suburbs, 1961 Census:	
— Dublin	595,000
— Cork	116,000
— Dun Laoghaire	68,000
— Limerick	52,000

THE PEOPLE

Population (mid-1964)	2,849,000
Number of inhabitants per sq.km.	41
Increase in population:	
Annual average 1962-1964	12,000
Natural increase in population:	
Annual average 1962-1964	30,000
Emigration:	
Annual average 1962-64	18,000
Annual average per thousand of population	6
Labour force, total at work, April 1963	1,052,000
Employment in:	
— Agriculture, forestry and fishing	360,000
— Industry and construction	274,000
— Other sectors	418,000

PRODUCTION

Gross national product in 1963 (£ million)	815
GNP per head (U.S. dollars) (1963)	803
Gross fixed investment (1963):	
— as % of GNP	18
— per head (U.S. dollars)	144
Origin of gross domestic product in 1963:	
— Agriculture	22
— Industry and construction	33
— Services	45

THE GOVERNMENT

Public current expenditure on goods and services, 1963 (as % of GNP)	12
General government current revenue, 1963 (as % of GNP)	26
Public debt, 31st March 1964 (as % of central government current revenue)	278
Composition of Parliament (Feb. 1965):	
Fianna Fail	71 seats
Fine Gael	48 —
Labour	17 —
Others	7 —
Last elections: October 1961	

LIVING STANDARDS

Food consumption, calories per head per day (1963)	3,484
Average weekly earnings of industrial workers in September 1964 (in shillings)	210
Public current expenditure on education per head, in U.S. dollars (1962-1963)	22
No. of passenger cars in use per thousand of population (1963)	81
No. of telephones per thousand of population (year ended 31st March, 1964)	69
No. of radio sets per thousand of population (year ended 31st March, 1964)	188

FOREIGN TRADE

Exports:	
Exports of goods and services as % of GNP, 1963	38
Main exports, 1963 (% of total domestic exports):	
— Live cattle	22
— Beef, fresh	8
— Textile manufactures	4
— Clothing	4
— Beer	4
— Machinery and electrical goods	4
— Textile fibres and waste	4
— Bacon	3
Main customers, 1963 (% of total):	
— United Kingdom	72
— United States	8
— European Economic Community	8
Imports:	
Imports of goods and services as % of GNP, 1963	42
Main imports 1963 (% of total):	
— Machinery and electrical goods	17
— Chemicals, including fertilisers	8
— Vehicles	7
— Textile manufactures	7
— Petroleum	4
Main suppliers, 1963 (% of total):	
— United Kingdom	51
— European Economic Community	15
— United States	6

THE CURRENCY

Monetary unit : Irish pound.	
Currency unit per U.S. dollar	0,357

ECONOMIC SURVEYS BY THE OECD

IRELAND

ORGANISATION FOR ECONOMIC CO-OPERATION AND DEVELOPMENT

The Organisation for Economic Co-operation and Development was set up under a Convention signed in Paris on 14th December 1960 by the Member countries of the Organisation for European Economic Co-operation and by Canada and the United States. This Convention provides that the OECD shall promote policies designed:

- *to achieve the highest sustainable economic growth and employment and a rising standard of living in Member countries, while maintaining financial stability, and thus to contribute to the development of the world economy;*
- *to contribute to sound economic expansion in Member as well as non-member countries in the process of economic development;*
- *to contribute to the expansion of world trade on a multilateral, non-discriminatory basis in accordance with international obligations.*

The legal personality possessed by the Organisation for European Economic Co-operation continues in the OECD, which came into being on 30th September 1961.

The Members of OECD are: Austria, Belgium, Canada, Denmark, France, the Federal Republic of Germany, Greece, Iceland, Ireland, Italy, Japan, Luxembourg, the Netherlands, Norway, Portugal, Spain, Sweden, Switzerland, Turkey, the United Kingdom and the United States.

This document was approved
by the Economic and Development Review Committee
in March 1965.

CONTENTS

Introduction 5

I The Domestic Situation and Outlook.. 5

a) Demand 6
b) Supply 8
c) Incomes and Prices 9
d) Balance of Payments.. 10

II Economic Policy 14

a) Budgetary and Monetary Policy.. 15
b) Balance of Payments.. 16
c) Prices and Incomes 20

III Conclusions 23

Annex 25

Statistical Annex 29

BLANK PAGE

INTRODUCTION

For some years, Ireland has ranked among the fastest growing Member countries of OECD, measured by the growth of GNP per head which has averaged over 4 per cent a year in real terms since 1958. The Second Programme for Economic Expansion, which covers the period 1964-1970, looks forward to a continuation of a 4 per cent growth rate. Previous OECD surveys of the Irish economy have described the policies that made this rapid and sustained rate of growth possible, notably the First Programme for Economic Expansion (1958-1963), and have discussed the major obstacles to faster growth together with the measures adopted, or envisaged, for overcoming them[1].

During the last three years expansion has been accompanied by a growing current external deficit, and since the end of 1963 there has also been a sharp rise in prices. It seems appropriate at the present time to focus attention upon the issues raised by these developments and upon the problem of combining growth with stability. Part I reviews the current situation and short-term prospects. Part II considers recent policy measures and discusses the policy issues raised by developments in the balance of payments and in incomes and prices.

I. THE DOMESTIC SITUATION AND OUTLOOK

The rate of growth of GNP in 1964 was of the order of 4½ per cent, slightly higher than in the previous year (Table 1). Output in both industry and agriculture rose more rapidly, the sharper increase in industrial output that began in the second half of 1963 being due in large part to improved export demand. Fixed investment and stock accumulation both increased rapidly in 1964. The growth of private and public consumption, in real terms, was again moderate. The pace of the expansion of total output may slow down somewhat during 1965 depending largely on the trend in demand for exports.

1. See the Economic Surveys of the OECD: Ireland, 1962, 1963 and 1964.

TABLE 1. **EXPENDITURE ON GNP AT CONSTANT (1958) PRICES**

PERCENTAGE CHANGES AT ANNUAL RATES

	1958-64	1964-70 *(planned)*	1962	1963	1964 *(estimate)*
Private consumption	3.7	3.6	3.5	4.5	4
Public consumption	3.6	6.5	5.5	6.1	4
Gross fixed capital formation	11.3	3.1	15.0	11.9	14
Stocks *(£ million 1958 prices)*	11.6	..	9.8	6	13
Exports of goods and services	6.2	9.4	– 1.6	7.3	4
Imports of goods and services	8.6	7.4	5.1	9.7	10
Gross national product at market prices	4.3	4.3	3.0	4.2	4.3

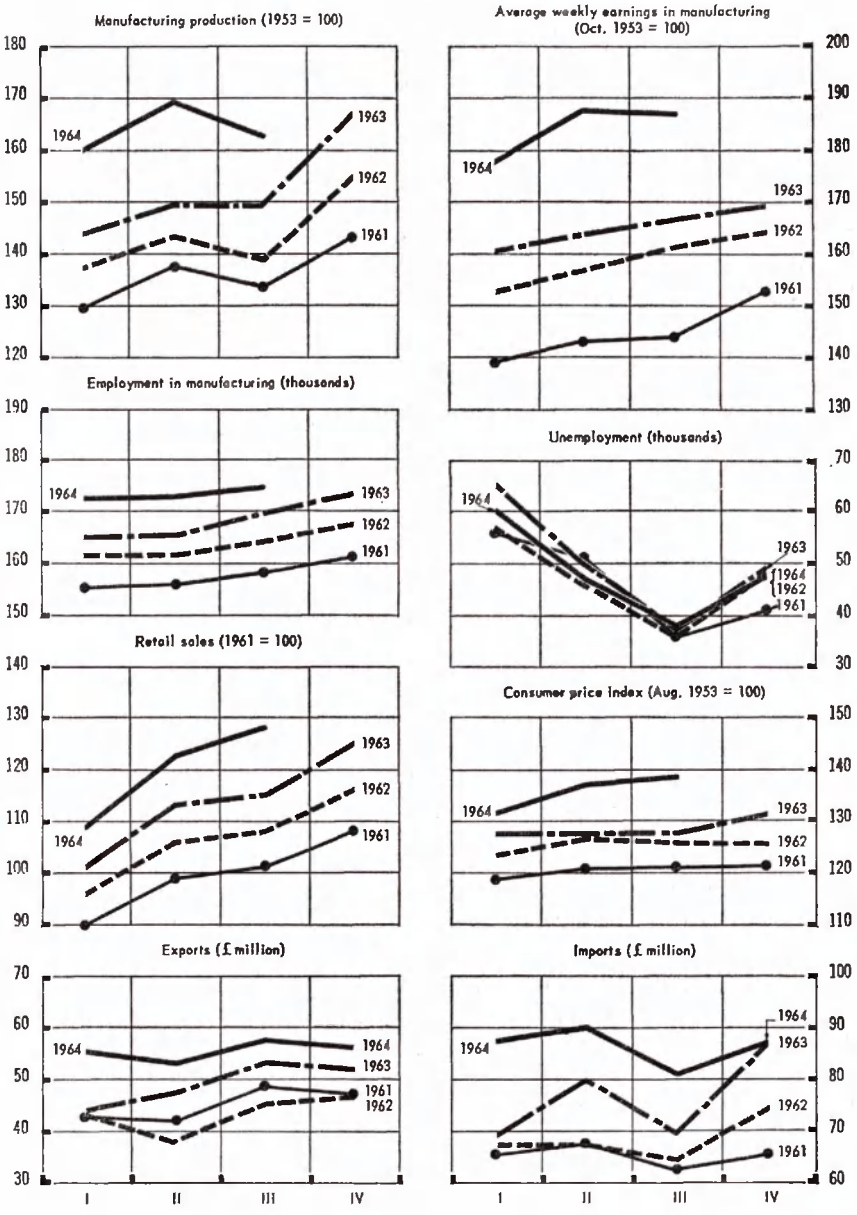
Source: Irish submission to OECD and Secretariat estimates.

a) *Demand*

The rise in fixed investment has been the most striking demand development in recent years. It was not until 1961 that investment began to respond to the impetus given by the First Programme for Economic Expansion, but since that time its growth has been dramatic. Between 1960 and 1964 the volume of fixed investment rose by nearly 75 per cent. In each of the last three years there have been increases of 12-15 per cent. The public capital programme, which accounts for more than half of total fixed capital formation, rose by about a fifth in both 1963-1964 and 1964-1965. Some slowing down in the growth of investment in 1965 appears to be indicated by the Second Programme for Economic Expansion, which foresees a levelling off in the public capital programme after 1964-1965. But a new element in the situation is likely to be the rise that is planned in housebuilding financed by public funds. It may be that the inflow of foreign direct investment, which has contributed largely to the expansion of private productive investment, will not rise much beyond its present level in the immediate future. The ratio of investment to GNP now stands at 20 per cent — around the average level for OECD countries — compared with only 13.5 per cent in 1958 so that Ireland is no longer a country with a low investment ratio. Also, dearer credit conditions, following the rise in December of Bank rate in the United Kingdom, may deter some prospective borrowers if they remain in force for long.

Stock accumulation was higher in 1964 than in 1963. The greater part of the increase occurred outside agriculture and may have been due largely to an increase in work in progress caused by the accelerated expansion of industrial output. Imports of materials for further processing rose at a

Diagram 1. SHORT-TERM ECONOMIC INDICATORS



Source: Irish Statistical Bulletin.

faster pace than industrial output, but by the end of the year the stock/output ratio was considered more adequate by business, and a slower growth of stocks in 1965 is in prospect.

Exports of goods and services are a major factor in overall demand, the ratio to GNP being nearly two-fifths. Although exports will be affected by the United Kingdom surcharge a further substantial rise this year is not unlikely.

Consumers' expenditure at current prices rose sharply in 1964; in the first ten months retail sales were up by nearly 9 per cent on the previous year. But two-thirds of the increase was accounted for by higher prices: in real terms consumption grew, as in previous years, at a slower pace than GNP, and about in line with the 3.6 per cent growth rate called for by the Second Programme for Economic Expansion. As the headline agreement on wages and salaries concluded early in 1964 calls for a standstill in collective bargaining until the first half of 1966, it is unlikely that consumer demand will rise any more rapidly this year than last.

b) *Supply*

The more rapid expansion of industrial output which began in the second half of 1963, continued throughout 1964. Between the first three quarters of 1963 and 1964 production of transportable goods rose by nearly 11 per cent as against 6 per cent in the previous year. All branches of manufacturing participated in this expansion, but the fastest growth was in textiles, clothing, metals and engineering, where export demand was strongest. In the first half of 1964, output in the building and construction industries rose faster than in 1963; but the expansion was temporarily interrupted in the autumn by the Dublin builders' strike.

The volume of net agricultural output rose by about 2 per cent in 1964 after remaining more or less stable in 1962 and 1963. In 1963 the recovery in livestock and livestock products was offset by a sharp fall in crop output. Though the latter again declined in 1964, the drop was more than offset by the increase in livestock production. The number of cattle exported in the first nine months of 1964 reached a record level, 20 per cent higher than in the same period of 1963. Nevertheless, in contrast to previous periods of heavy sales, cattle stocks did not decline: at mid-1964 they were 2 per cent higher than a year earlier.

Employment in manufacturing rose by about 5,000, or 3 per cent, between September 1963 and September 1964, the same as in the preceding twelve months. There was probably some increase in employment in other non-agricultural sectors, notably in building. The average rate of unemployment throughout 1964 was 5.7 per cent, slightly lower than in the previous year, except during the autumn when it was swollen by the strike of building

TABLE 2. **PRODUCTION, EMPLOYMENT AND EARNINGS**

Percentage changes over previous year or corresponding period of previous year

	1962	1963	1964 1st NINE MONTHS	1964 YEAR *(estimate*
Agricultural net output	+ 0.6	− 0.6	..	+ 2
Industrial production *(transportable goods)*	+ 5.7	+ 6.4	+ 10.7	+ 11
Employment *(transportable goods)*	+ 3.2	+ 2.6	+ 4.0[1]	
Average weekly earnings *(transportable goods)*	+ 10.0	+ 3.7	+ 12.7	
Unit labour costs[2] *(transportable goods)*	+ 7.4	− 0.0	+ 5.9	

1. Year 1964.
2. Change in average weekly earnings divided by change in industrial production per head.

Source: Irish Statistical Bulletin. Data based on quarterly averages.

workers. There was some increase in emigration during the year, due to the improved employment situation in the United Kingdom; those who emigrated in 1964 probably included a number who postponed departure in the previous year when the level of unemployment in the U.K. was abnormally high. For the year as a whole, however, net departures by sea and air, at 22,500, were only slightly above the 1963 level and well below the natural increase in population of 31,000 a year. This year the pull of the labour market in Britain may be lessened.

c) *Incomes and Prices*

Since the latter part of 1963, the level of incomes in Ireland has increased sharply following a period of relative stability. The national wage agreement signed in January 1964 provided for a general increase in wage rates of 12 per cent and between September 1963 and September 1964 average weekly earnings in industry rose by that amount. Public service salaries have been raised in sympathy. Agricultural incomes also rose more rapidly in 1964 than in previous years due to improved prices, notably for meat.

The increase in prices has been widespread. Consumer prices, which had previously been fairly stable, rose by 7 ½ per cent between August 1963 and May 1964; between May and November there was a further but less marked rise of 2 ½ per cent. Wholesale prices rose by 6 ½ per cent between the middle of 1963 and 1964. The rise in the cost of living index over this period was the result of a number of factors: increased indirect taxes, higher unit labour costs and higher food prices. The imposition of a 2 ½ per cent tax on retail turnover in November 1963 raised retail prices by

TABLE 3

	1962	1963
Consumer prices[1], all items	125.3	128.4
Consumer prices[1], food	123.2	125.0
Wholesale prices, general	118.3	119.8
Wholesale prices, agricultural	102.0	102.2
Wholesale prices, industrial	120.8	122.4
Import prices	107.6	109.4
Export prices	101.9	103.9

1. August 1953 = 100.
Source: Irish Statistical Bulletin.

a similar amount; and higher duties on petrol, drinks and tobacco in the April 1964 budget produced a further 1 per cent increase in the consumer price index. Tax increases in 1964 were made necessary in part by the increase in salaries in the public sector. The increase in unit labour costs following the 12 per cent wage rise was limited by the exceptionally rapid growth of productivity in 1964: output per head in manufacturing rose by 7 per cent between the first nine months of 1963 and 1964 and some firms were willing to absorb part of the rise in costs, perhaps in anticipation of greater wage stability in the period ahead. But higher unit labour costs have nevertheless had an impact upon prices. Prices of foodstuffs, and particularly meat and potatoes, rose sharply last year, in the case of meat because of stronger export demand.

d) *Balance of Payments*

In 1964, merchandise imports rose by 13 per cent and exports by 14 per cent. In volume the growth of visible exports was substantially less than that of imports (8 as compared with 11 per cent), Ireland benefiting from a substantial improvement in the terms of trade. Export prices rose by 7 per cent, mainly as a result of better prices for cattle and other agricultural products, whilst the level of import prices was virtually stable. The deficit on visible trade rose from £ 110 million to £ 124 million but part of this was offset by improved receipts from invisibles, and notably tourism. The current deficit as a whole rose rather less, from £ 22 million in 1963 to about £ 30 million. Despite the higher current deficit, however, the gold and foreign exchange reserves rose by £ 5 million in the twelve months ended December 1964, thus continuing the regular upward trend since 1960.

PRICES

(1953 = 100)

1963				1964			
1st QTR.	2nd QTR.	3rd QTR.	4th QTR.	1st QTR.	2nd QTR.	3rd QTR.	4th QTR.
127.7	127.4	127.3	131.2	131.9	137.1	138.8	140.3
126.1	124.6	123.2	126.1	126.7	132.8	134.7	137.1
119.2	119.8	119.8	120.1	123.4	127.3	128.0	
101.6	102.2	101.1	103.4	108.0	112.8	113.8	
121.9	122.1	122.5	123.2	125.0	128.1	129.2	
111.6	111.8	112.7	113.1	113.8	114.2	114.6	
104.3	105.1	105.5	106.1	108.8	113.4	113.9	

The movement of exports in 1965 will depend heavily on developments in the United Kingdom, which takes about 70 per cent of Ireland's commodity exports. The U.K. tariff surcharge on imports of manufactures other than manufactured foodstuffs affects about £ 45 million, or one-fifth of Ireland's commodity exports, a higher proportion than for any other of the U.K.'s trading partners. Only a quarter of total Irish exports consists of manufactures, but three-quarters of them are sold on the British market. In view of the special importance of the British market to the Irish exporters the Government has introduced a scheme by which exporters will be reimbursed up to half the amount of the surcharge in the form of what have been called " market development grants ". These grants should be of substantial assistance to Irish exporters in overcoming the surcharge.

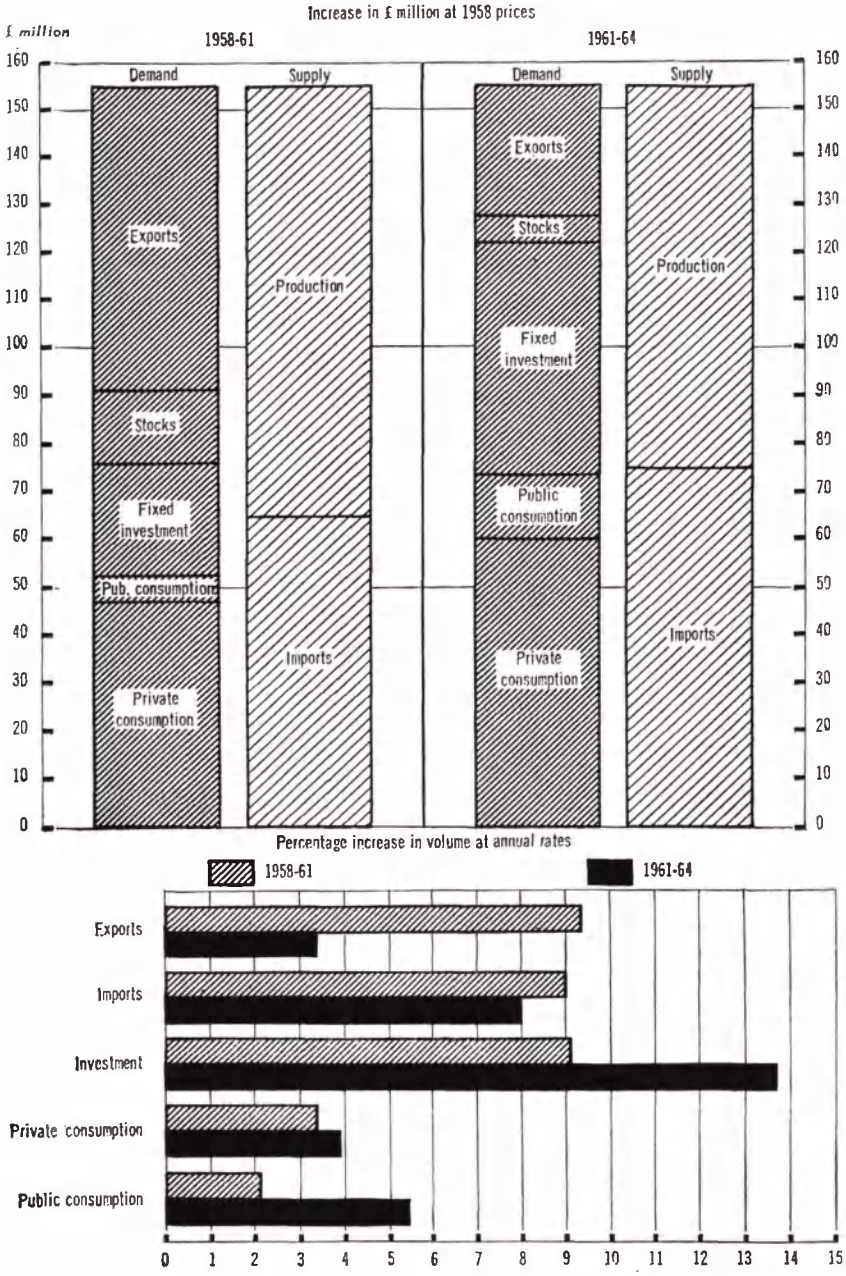
TABLE 4. **EXPORTS BY DESTINATION**

£ millions.

	1963	1964
Total	196.0	222.4
of which, to United Kingdom	141.0	159.0
North America	18.5	12.8
EEC	14.7	22.2
Other areas	21.9	28.4

Source: Irish submission to OECD.

Diagram 2. **SUPPLY AND USE OF RESOURCES, 1958-1964**



Source: **Irish submission to OECD.**

TABLE 5. **BALANCE OF PAYMENTS**

£ million.

	ANNUAL AVERAGE 1958-63	1962	1963	1964 *(partly estimated)*
Trade balance	− 86.1	− 100.2	− 110.5	− 124
Net receipts from invisibles	+ 78.6	+ 86.8	+ 88.4	(+ 94)
of which: Tourism	+ 24.4	+ 26.4	+ 27.1	
Investment incomes	+ 13.4	+ 15.0	+ 15.8	
Current balance	− 7.5	− 13.4	− 22.1	(− 30)
Capital movements	+ 15.3	+ 22.9	+ 25.0	(+ 35)
Change in reserves (− = increase)	− 7.8	− 9.5	− 2.9	− 5

Source: Economic Statistics.

But export receipts will be adversely affected to the extent that prices of Irish exports are being reduced. And market conditions generally for manufactured products in the United Kingdom this year are likely to be less buoyant. However, it appears that Irish exporters remain fairly confident that they will be able to increase their exports again this year.

Last year the rise in export receipts was helped by strong demand for live cattle and meat and a further increase in demand is expected in 1965. Now that bovine tuberculosis has been virtually eliminated, the cattle industry is showing a welcome ability to respond to rising demand with higher output so that the supply difficulties that could have been feared earlier seem likely to be avoided.

Present indications suggest that the growth of imports may also be less rapid this year. A somewhat slower growth of fixed investment and

TABLE 6. **IMPORT AND EXPORT PROJECTIONS UNDER THE SECOND PROGRAMME**[1]

Average annual percentage increase.

	ACTUAL 1960-64	SECOND PROGRAMME 1964-70 *(revised)*
Imports of goods and services	9.1	7.4
Exports of goods and services	5.6	9.4

1. Based on Irish national accounts.

Source: Irish authorities.

stocks, the expansion of which contributed largely to the growth of imports last year, is probable; and if the growth of industrial production was less rapid this would dampen demand for imports of raw materials. The postponement of the 10 per cent cut in tariffs on industrial products, which was due to take place in January 1965, was announced at the same time as the measure to offset the effect of the import surcharge. Finally, the Government has given encouragement to a campaign in favour of a greater use of Irish products, which may eventually have some import-saving effects and stimulate production at home.

The net capital inflow in 1964 was exceptionally high, and may have included some short-term funds from the United Kingdom. Monetary policy in Ireland has been adapted to changed credit conditions in the United Kingdom and no appreciable outflow of short-term funds seems likely. A similar overall net capital inflow this year may not be achieved. In which case, as it will not be easy to bring about a fall in the current account deficit, a further rise in the reserves in 1965 is unlikely.

Beyond the immediate outlook the prospect is for continued fast growth of both imports and exports. Imports have risen very rapidly in recent years; Part I of the Second Programme for Economic Expansion assumed an annual rise of 6 per cent in imports of goods and services between 1960 and 1970, but in the first four years of this period the actual rate of growth has been about 9 per cent. Last year the National Industrial Economic Council, in the light of consultations with industry, published with certain qualifications a revised estimate of 8 per cent a year over the decade which takes fuller account of the effects of removing tariffs — one of the basic assumptions of the Programme[1]. At the same time, however, the Council substantially raised the original export projections in the Programme given the views of exporters and taking into account the larger contribution to exports now expected from newly established firms. According to the new estimate, exports of goods and services are expected to rise by about 8 per cent a year, as against 8 per cent in the earlier projections. The revisions are not thought to change very notably the previous estimate according to which the current account deficit in 1970 is likely to be between £ 12 and £ 16 million (at 1960 prices).

II. ECONOMIC POLICY

This part of the present survey deals in turn with budgetary and monetary policy, the issues raised by the financing of the balance of payments and with the need for a policy for incomes.

1. NIEC Report on Discussions with Industry on the Second Programme Targets, November 1964, Pr 7987.

a) *Budgetary and Monetary Policy*

Budgetary policy in 1964 was governed by the medium and longer-term objectives embodied in the Second Programme for Economic Expansion, which was launched in 1964. Since 1961 public current expenditure on goods and services has been growing more rapidly than private consumption, in contrast to the much slower growth of the preceding period. Government current and capital expenditure continued to rise rapidly last year. The initial budget estimates for 1964-1965 showed a £ 29 million, or 16 per cent, rise in Government current spending over the previous year, the biggest elements in which were over £ 9 million for higher social welfare benefits, increases in public service salaries (£ 8 million), increased provision for agricultural support programmes (£ 5 million) and a rise in debt charges (£ 4 million). The buoyancy of the revenue, together with the extra revenue brought in by the turnover tax in a full year, was estimated to bring in an additional £ 24 million. The gap between prospective revenue and expenditure was met by increases in post office charges and indirect taxes. Additional expenditures have been incurred during the financial year, for instance, further salary increases and the cost of compensating exporters for the U.K. surcharge. On the capital side, as already

TABLE 7. PUBLIC SECTOR FINANCE

£ million.

	FISCAL YEARS	
	1963-64 ACTUAL	1964-65 ESTIMATED
I. *Current budget:*		
1. Expenditure	186.64	215.13
2. Receipts	184.42	215.13
of which a) Tax revenue	146.80	173.01
— direct	51.52	57.98
— customs duties	50.35	97.38
— excise	37.75	
— other indirect	7.18	17.65
b) Motor vehicle duties	8.24	9.00
c) Non-tax revenues	29.39	33.12
II. *Capital budget:*		
1. Expenditure[1]	78.50	96.11
2. Sources of finance:		
— public funds	52.38	70.77
— internal resources of semi-state bodies	15.17	13.67
— other borrowing[2]	10.95	11.67

1. Includes capital expenditure of government departments, state-sponsored bodies and local authorities.
2. Banks, insurance companies, issues of stock.

Source: Irish submission to OECD.

indicated, expenditure rose sharply in 1964-1965 but is likely to rise more slowly for the time being. It appears that a further increase in taxation may be necessary in 1965-1966 to finance the rise in public expenditure.

In the recent past, higher taxation has taken the form of increases in indirect taxes. A disadvantage of this procedure is that it gives an upward twist to prices which may conflict with the aims of stabilisation policy. It would clearly be desirable this year to minimise the impact of any change in taxation on the price level in view of the need to keep prices stable after their recent rapid increase.

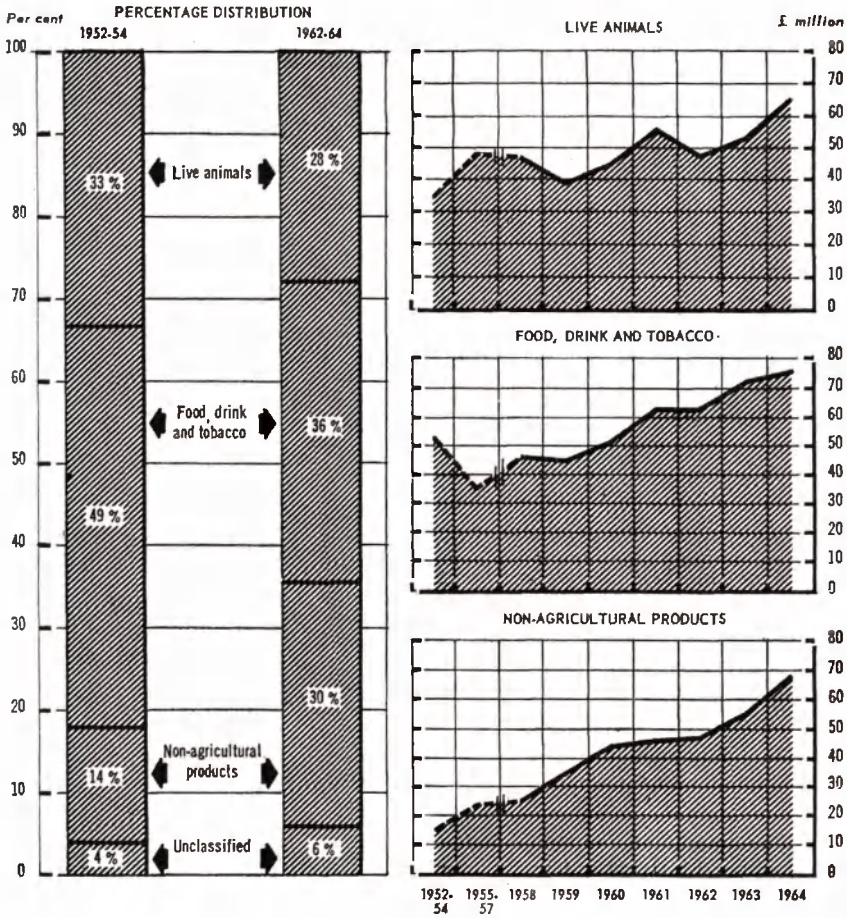
Interest rates in Ireland were raised in December 1964 following the increase from 5 to 7 per cent in the British Bank rate but, as on the previous occasion in 1961, by a smaller amount. Rates paid on time deposits of £ 25,000 and over were increased from 2 ½ to 4 per cent and those on smaller amounts from 1 ½ to 2 ½ per cent. Experience has shown that large deposits are more sensitive to monetary conditions in Britain than smaller ones. As a result of these changes, rates charged by banks on commercial loans have been increased by one percentage point, from 6 ¼ to 7 ¼ per cent. The Irish authorities have thus attempted to soften the impact upon the domestic economy of the change in monetary conditions that was called for as a precautionary move against a possible outflow of short-term funds to Britain.

b) *Balance of Payments*

In the last three years the growth of the Irish economy has been accompanied by the emergence of a growing current deficit on external account. A small surplus in 1961 became a deficit of £ 13 million in 1962, £ 22 million in 1963 and £ 30 million in 1964 and, on present trends, an appreciably lower figure is unlikely this year. At its present level, the deficit is relatively high and amounts to over 3 per cent of GNP. But the nature of the deficit, taken in conjunction with Ireland's external asset/liability postion and the manner in which the deficit is being financed, suggest that the current account position should not at the present time give grounds for too much concern.

The deficit cannot be attributed to an unsatisfactory performance of exports. The volume of merchandise exports rose by 44 per cent between 1958 and 1963, only a little less than OECD exports as a whole which rose by 51 per cent. This performance must be judged taking into consideration Ireland's special problems as a major exporter of agricultural products. About two-thirds of exports are of agricultural origin and face quantitative restriction, if not complete exclusion, in most markets. The United Kingdom, which takes over 70 per cent of Irish exports, has been one of the more slowly growing markets over the period since 1958, despite short periods of rapid growth as in 1963-1964.

Diagram 3. **EXPORTS BY TYPE OF GOODS, 1962-1964**



Source : Statistical abstracts.

The growth in the volume of merchandise exports has been accompanied by a remarkable change in their structure which has strengthened Ireland's export potential. Although cattle and beef retain their predominant position, industrial exports rose between 1958 and 1964 from 26.5 to 34.3 per cent of the total, and the Second Programme foresees a figure of 43.5 per cent by 1970.

The emergence of the current deficit has been due mainly to the exceptionally rapid rise in imports, which increased by one half between

1958 and 1963, and by a further 13 per cent in 1964. But this increase, unlike that which occurred in 1955-1956, has not taken the form of an excessive rise in imports of consumer goods. As a percentage of personal expenditure, imports of consumer goods have risen moderately from about 9 ½ per cent in 1958 to 10 per cent in 1963. And both in absolute and in percentage terms the growth of this class of imports from 1958 to 1963, and again last year, has been less than that of capital goods or of materials for further processing.

The increase in merchandise imports as a percentage of GNP from 32 per cent in 1958 to 36 per cent in 1964, has been due almost entirely to higher imports of capital goods and non-agricultural materials for further processing. The first reflects the increase in the share of the GNP taken by investment and, within the investment total, increased emphasis on directly productive expenditure which has a higher import content. The second is a result of the rapid growth of the industrial sector. Thus higher demand for imports has been caused primarily by structural changes taking place in the Irish economy; the rise in the investment ratio, and the development of industry.

Slightly less than a sixth of total investment was financed externally in 1964. The rise in investment has also been largely financed by an increase in domestic savings. The gross savings ratio rose from 14.3 per cent in 1958-1960, to 16.3 per cent in 1961-1963 and to 17.4 per cent in 1964. (Table 8.) Of the £ 91 million increase in investment between 1960 and

TABLE 8. GNP, INVESTMENT AND SAVINGS

£ million.

	1958	1959	1960	1961	1962	1963	1964 (EST.)
GNP at market prices	588	624	660	709	763	815	926
Investment	73	105	100	116	139	152	191
— Fixed	80	83	89	108	129	146	177
— Stocks	−8	+ 22	+ 10	+8	+ 10	+6	+ 14
Gross domestic savings	72	96	99	118	126	130	161
Current deficit on balance of payments	1	9	1	−1[1]	13	22	30
Savings as % of GNP	12.2	15.4	15.0	16.6	16.5	16.0	17.4

1. Surplus.

Source: Irish submission to OECD. Due to rounding, totals do not necessarily add.

1964 — from £ 100 million to £ 191 million — two-thirds has been financed by domestic savings.

A large part of the increase in investment since 1960 has been directed into building up the capacity of export industries. The inducements offered to foreign firms have been conditional upon the greater part of their output being exported. Thus the increase in the external deficit has had as a counterpart the strengthening of the export potential of the Irish economy and hence its ability to take on new debt commitments.

The danger of a heavy burden of debt servicing is in any case less serious for Ireland than for many other countries that are going through a rapid process of industrialisation by virtue of the country's favourable external asset/liability position. On invisible account there is a net inflow from investment income which has risen slightly in recent years, from £ 13 million in 1958 to £ 16 million in 1963. In addition to official reserves there are large net external assets of Irish residents. However, a continuation of the capital inflow will gradually alter this position. The Second Programme assumes that net income from abroad (which includes emigrants' remittances) will be halved in real terms between 1960 and 1970 although Ireland is likely to remain a substantial net creditor on external account in 1970.

The available balance of payments data for Ireland do not permit a satisfactory breakdown between long- and short-term, and direct and indirect capital flows to be made. Nevertheless, it seems clear that the capital inflow has increasingly taken the form of direct investment which is likely to have been of the order of £ 10 to £ 15 million a year recently. Such investments cannot be liquidated at short notice and they are directly geared to the growth of exports. Portfolio investment, mainly in the form of subscriptions to new government or industrial issues, are another important element in the capital inflow. Incomplete data show that applications from abroad for issues of government loans were over £ 4 million in both 1962 and 1963; foreign subscriptions to issues by semi-state bodies are of the order of £ 1 million a year. And private portfolio investment by foreigners in Irish equities has also increased. So far in the post-war period no public loans have been raised by Ireland either on foreign capital markets or from international institutions.

It may be that some of the large increase in net capital imports in 1964 was due to a movement of short-term funds into Ireland from the United Kingdom following uncertainty about the new Government's fiscal policies. The close inter-connection of the banking and monetary systems of the United Kingdom and Ireland facilitates such movements, and even a quite small change in conditions could, given the disparity of size between the United Kingdom and Ireland, produce effects of considerable importance for Ireland. For that reason monetary conditions in the two countries

cannot be allowed to get too far out of step. However, the Irish authorities have succeeded in synchronising their monetary policy with the United Kingdom's without, at the same time, following too sharply restrictive policies when they were in force in that country.

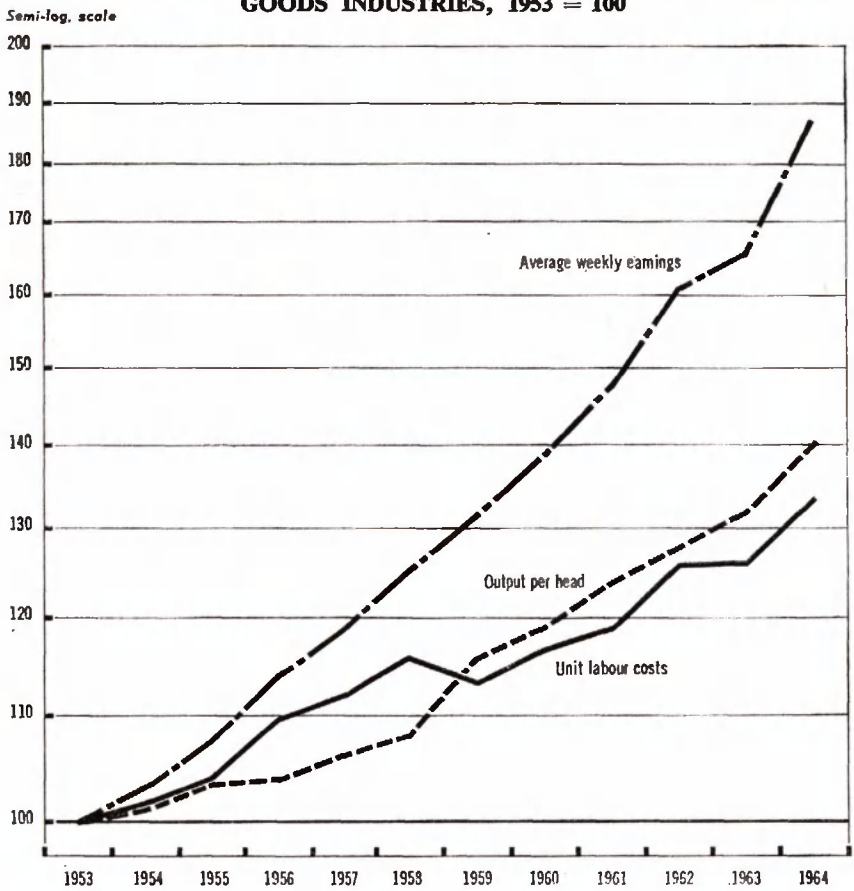
The foregoing analysis suggests that the growing current account deficit since 1962 has been closely related to the rapid rise in investment which, in turn, has served to strengthen the country's production and export potentials. The rise in the import bill due to higher consumption expenditure has been moderate and there has been an increase in the domestic savings ratio. Recourse to foreign capital and technical " know-how " to assist in the necessary growth of industry is clearly appropriate. But equally clearly there is a limit beyond which it would be unwise to allow the current deficit to rise, if only because it would increase the degree to which the economy was exposed to changes in external conditions. The Second Programme envisages a deficit of £ 12 to £ 16 million (in 1960 prices) by 1970; this would imply a rather sharp contraction of the deficit, and perhaps a sharper one than may prove necessary. Nevertheless, it would appear reasonable over the next few years to aim at a reduction from the present level.

c) *Prices and Incomes*

The Irish economy is heavily dependent upon foreign trade and the continued success of the present development effort calls for further substantial increases in exports. The Second Programme for Economic Expansion rightly lays great stress in this connection, upon the need for Irish prices to remain competitive. There are many factors which contribute to this result, notably the rate at which industrial efficiency is improved and productivity generally is increased. But it is unlikely that they will suffice by themselves if the economy is periodically subjected to massive increases in nominal incomes. In other words, an incomes policy is a necessary element of economic policy, all the more so as fiscal policy should ideally remain geared to achieving the medium-term growth target whilst monetary policy is not, for the present, a very flexible demand management instrument.

The analysis of recent price trends in Part I of this report led to the conclusion that the increase in the price level during 1964 was to a not-negligible extent the result, either directly or indirectly, of the application of the national wage agreement in January 1964. Despite a very rapid increase in productivity last year, unit labour costs rose by some 6 per cent. And indirect taxes were raised to meet the additional cost of higher salaries in the public service. The period of wage stability that should now be in prospect — according to the January 1964 agreement no fresh claims will be lodged until mid-1966 — together with a continued rise in output

Diagram 4. **OUTPUT, EARNINGS AND UNIT COSTS IN TRANSPORTABLE GOODS INDUSTRIES, 1953 = 100**



Source: Irish Statistical Bulletin.

per head, should bring about a fall in labour costs per unit of output in the immediate future. But it remains that the rise in the cost of living, from whatever cause, was excessive in 1964 and one which would, if it were to continue, seriously endanger growth prospects.

So far, discussions on incomes in Ireland have been confined for the most part to wages and salaries. In 1962 the National Employer/Labour Conference brought both sides of industry together for preliminary discussions which resulted in an agreement in principle on the desirability

of a more rational and better informed approach to wage and salary settlements. The wage round which occurred in the same year led to the publication, in February 1963, of a Government White Paper, " Closing the Gap ", which called for a wages pause to allow productivity to catch up. In November 1963, the Government expressed the view that a further increase in wages could be envisaged and in January 1964, the representatives of the employers and trade union organisations recommended a 12 per cent rise in wages and salaries, the agreement to run for two and a half years.

The January 1964 agreement, despite its obvious imperfections, may be seen as a first step towards setting up arrangements for ensuring a sustainable progression of wages and salaries. Provided the agreement lasts for the full two and a half year period, the 12 per cent wage increase is probably no greater than the likely growth of productivity in Irish industry over the same period. Its major defect is that it tends to raise the general level of remuneration in excessively large jumps. A more gradual phasing of increases, at least on an annual basis, would avoid this difficulty.

For an incomes policy fully to achieve its aims, however, it will be necessary to broaden the scope of discussions on incomes to include non-wage incomes, notably those of farmers. Moreover, inside the maximum sustainable overall rate of growth of consumption expenditures, the shares to be assigned to collective and individual expenditure and their relation to taxation will call for consideration. Discussions on incomes would gain in clarity if they were related to these broader issues and their implications for the cost of living and fiscal policy. A fuller discussion of the economic implications of an incomes agreement might also help to avoid a repetition of the ambiguity in the 1964 agreement as regards hours[1].

Though it may be considered appropriate in Irish conditions to leave the task of reaching specific agreements to the employers' and workers' representatives, more active guidance from the government in the preparatory stages is likely to be called for. Whether a special forum is required, or whether an existing body such as The National Industrial Economic Council could develop to assume such a task, is a question for the Irish authorities to decide. But it appears to be urgent that preparations for the renewal in 1966 of the 1964 agreement should be put in hand well in advance.

1. A claim for shorter hours and fringe benefits in the building industry led to a strike lasting over two months last autumn. The building unions, with the support of the national trade union centre held that the national wage agreement did not rule out claims for shorter hours.

III. CONCLUSIONS

The preceding considerations suggest the following conclusions:

a) Ireland continued to enjoy a rapid rate of growth last year and the prospects are for a continuation of the rate along the trend of between 4 and 4 ½ per cent a year laid down in the Second Programme for Economic Expansion;

b) Growth last year was accompanied by a further rise in the current external deficit. But higher capital imports more than offset the current deficit and the gold and foreign exchange reserves rose. There is still some uncertainty regarding trends in the balance of payments this year. The measures to assist exporters taken by the Irish authorities should mitigate the effects of the United Kingdom import surcharge upon home production which might otherwise have been severe in view of Ireland's heavy dependence on the British market. But they can hardly avoid some loss of export earnings even if the growth of the volume of exports is maintained. Agricultural exports seem likely to do well again this year, notably beef and live animals. Imports may rise less rapidly and prices may be more stable. But the increase in the net capital inflow was exceptional last year and the inflow may not be as great in 1965.

c) The decision to postpone the 10 per cent unilateral cut in tariffs, which was due to come into effect on 1st January 1965, was taken after the announcement of the 15 per cent surcharge on imports in the United Kingdom. Although this decision could be justified by uncertainty about trends in the balance of payments this year, it is important that tariff cuts should be resumed as soon as possible.

d) To date, the rise in imports has not been caused by an excessive rise in consumer demand. Imports have mainly been used for strengthening the country's production and export potentials. The growth of exports has been satisfactory, though an acceleration will be needed to meet the revised aims of the Second Programme.

e) The domestic savings rate is rising, the foreign asset/liability structure is markedly favourable and the growing export potential of the economy enables new debt commitments to be taken on without overburdening the balance of payments. Also direct investment is a large, and growing, part of total capital imports, and seems to be well adapted to Ireland's development needs for productive capital geared to exporting. Consequently the current balance of payments trend should not cause too much concern.

f) Nevertheless, the size of the current deficit is now high in relation both to GNP and to export earnings. It would appear reasonable to aim at a reduction in the deficit in future along the lines of the trend put forward in the Second Programme.

g) Prospects are that prices will rise much less this year than last. A pause is now necessary if the rate of increase in exports that is called for under the Second Programme is to be achieved. Experience last year underlines the urgent need in Ireland for an incomes policy. The 1964 national wages agreement was a valuable first step, but it does not represent a fully satisfactory solution. In future, it would be desirable to phase increases in wages and salaries more gradually as part of a wider understanding on the growth of incomes in general.

ANNEX

THE SECOND PROGRAMME FOR ECONOMIC EXPANSION 1964-1970

The Programme was published in two parts; the first, which appeared in August 1963, outlined the general objectives and was described in last years's survey by the Organisation, the second, giving fuller details by sector, was published in July 1964. The statistical data that follow regarding the objectives of the Second Programme have been taken from the latter publication.

TABLE 1. **GROWTH RATES, 1964-1970**

SECTOR	SECTORAL PRODUCTS 1963 AT 1960 PRICES £m.	PERCENTAGE INCREASE 1964-70 (1)	AVERAGE ANNUAL % RATE OF CHANGE 1964-70 (1)	SECTORAL PRODUCTS IN 1970 AT 1960 PRICES £m.
1. Agriculture, forestry, fishing	143.0	30	3.8	186.0
2. Industry	204.0	62	7.1	330.0
3. Other domestic	273.0	28	3.6	349.0
4. Net foreign income	36.0	– 50	– 9.4	18.0
GNP at factor cost	656.0	35	4.3	883.0
5. Indirect taxes *less* subsidies	96.0	35	4.3	130.0
GNP at market prices	752.0	35	4.3	1,013.0

1. All percentage changes have been rounded to the nearest whole number. Average annual percentage rates of change have been rounded to the first decimal place.

TABLE 2. **CHANGES IN EMPLOYMENT AND PRODUCTIVITY, 1964-1970**[1]

SECTOR	EMPLOYMENT IN 1963 (000's)	AVERAGE ANNUAL % RATE OF INCREASE 1964-70 IN SECTORAL PRODUCTS	ANNUAL AVERAGE % CHANGE IN		CHANGE IN EMPLOYMENT 1964-70 (000's)	EMPLOYMENT IN 1970 (000's)
			EMPLOYMENT	PRODUCTIVITY		
1. Agriculture, forestry, fishing	360	3.8	− 1.4	5.3	− 36	324
2. Industry	274	7.1	+ 2.9	4.1	+ 60	334
3. Other domestic	418	3.6	+ 1.8	1.8	+ 57	475
GNP	1,052	4.3	+ 1.1	3.2	+ 81	1,133

1. All percentage changes have been rounded to the nearest whole number. Average annual percentage rates of change have been rounded to the first decimal place.

TABLE 3. **ESTIMATE OF PUBLIC CAPITAL PROGRAMME, 1964-1965 TO 1969-1970**

£ million.

	1963-64 (ACTUAL)	1964-65	1965-66	1966-67	1967-68	1968-69	1969-70
1. Building and construction							
i) Housing	12.12	16.61	17.42	18.61	19.51	20.01	20.18
ii) Sanitary and miscellaneous services	4.13	4.10	4.60	4.90	5.12	5.46	5.46
iii) Schools	2.69	3.14	3.79	4.31	4.06	4.25	4.05
iv) Hospitals	1.04	2.90	2.43	3.20	4.10	4.25	4.50
v) Other building and construction	1.96	2.47	2.72	3.35	2.61	3.06	3.03
Total	21.94	29.22	30.96	34.47	35.40	37.03	37.22
2. Ports, Harbours and Airports	2.65	3.25	3.54	3.46	2.61	2.38	2.04
3. Tourism	0.50	0.67	0.56	0.46	0.45	0.46	0.46
4. Agriculture	12.42	11.30	12.23	12.29	13.05	13.55	13.40
5. Agricultural Credit	2.40	3.00	3.30	3.60	3.70	3.83	4.20
6. Forestry	1.81	1.75	1.89	1.95	1.99	2.00	2.02
7. Fisheries	0.30	0.37	0.52	0.58	0.63	0.68	0.73
8. Fuel and Power	15.26	14.20	13.85	13.40	12.60	12.30	12.10
9. Telephones	4.61	6.00	6.00	6.20	6.50	7.00	8.00
10. Transport	6.29	11.22	11.36	9.89	8.28	5.06	8.73
11. Industry	7.19	9.16	6.98	3.83	3.83	4.43	4.83
12. Industrial Credit	2.58	5.00	3.75	3.75	3.75	3.75	3.75
13. Radio Eireann	0.07	0.60	0.40	0.25	0.25	0.25	0.25
14. Miscellaneous	0.48	0.37	0.23	0.20	0.16	0.10	0.09
Total	78.50	96.11	95.57	94.23	93.20	92.82	97.32

BLANK PAGE

STATISTICAL ANNEX

BLANK PAGE

TABLE I. EXPENDITURE ON GROSS NATIONAL PRODUCT

	1955	1956	1957	1958	1959	1960	1961	1962	1963	1964 (EST.)
a) £ MILLION AT CURRENT PRICES										
1. Consumers' expenditure	421.0	421.8	431.0	457.5	465.9	495.9	521.0	559.6	599	664
2. Public authorities' current expenditure	64.5	68.5	67.5	70.5	73.9	78.1	83.5	91.2	99	115
3. Gross fixed capital formation	92.4	91.8	80.1	80.3	82.9	89.4	108.5	129.3	146	177
of which: private	78.1	77.5	68.5	68.6	70.3	76.5	92.4	111.6	126	
public	14.3	14.3	11.6	11.7	12.6	12.9	16.1	17.7	20	
4. Change in stocks and work in progress	+9.7	−7.9	−6.6	−7.7	+22.2	+10.3	+7.9	+9.7	+6	+14
5. Exports of goods and services[2]	185.9	182.9	205.1	208.8	216.9	241.0	277.8	279.5	306	340
6. Total use of resources[1]	773.5	757.1	777.1	809.4	861.8	914.7	998.7	1,069.3	1,156	1,310
7. *Less:* Imports of goods and services[1]	232.2	208.4	207.8	221.6	237.7	254.6	289.9	306.1	341	384
8. Gross national product at market prices	541.3	548.7	569.3	587.8	624.1	660.1	708.8	763.2	815	926
b) £ MILLION AT CONSTANT (1958) PRICES										
1. Consumers' expenditure	467.4	454.9	446.2	457.5	464.2	491.8	504.7	522.3	546	568
2. Public authorities' current expenditure	72.5	73.0	70.7	70.5	72.7	74.1	75.1	79.2	84	87
3. Gross fixed capital formation	103.6	97.1	81.3	80.3	83.6	88.5	104.2	119.8	134	153
of which: private	87.4	81.9	69.5	68.6	70.8	75.7	88.9	103.8	116	
public	16.2	15.2	11.8	11.7	12.8	12.8	15.3	16.0	18	
4. Change in stocks and work in progress	+10.0	−8.9	−7.5	−7.7	+22.9	+10.2	+7.6	+9.8	+6	+13
5. Exports of goods and services[2]	195.4	194.6	211.9	208.8	212.3	237.7	272.9	268.4	288	300
6. Total use of resources[1]	848.9	810.7	802.6	809.4	855.7	902.3	964.5	999.5	1,058	1,121
7. *Less:* Imports of goods and services[1]	241.9	212.7	201.3	221.6	242.1	255.3	287.0	301.6	331	363
8. Gross national product at market prices	607.0	598.0	601.3	587.8	613.6	647.0	677.5	697.9	727	758

1. The main difference between these figures and those appearing in official Irish publications is the exclusion of emigrants' remittances.
2. Including income payments to and from rest of world.

Source: Irish submission to OECD.

TABLE II. PRODUCTION, EMPLOYMENT AND OTHER ECONOMIC INDICATORS

	1960	1961	1962	1963	1964	1963				1964			
						1st QTR.	2nd QTR.	3rd QTR.	4th QTR.	1st QTR.	2nd QTR.	3rd QTR.	4th QTR.
1. Volume of agricultural output[1] *(1953 = 100)*	108.7	110.5	111.3	110.7									
2. Cattle numbers *(thousands)* (mid-year count)	4,741	4,713	4,742	4,860	4,962								
3. Index of industrial production, transportable goods[5] *(1953 = 100)*	126.0	137.4	146.7	155.5		143.6	157.4	155.2	166.0	159.6	175.0	170.6	
of which:													
4. — mining and quarrying[5]	159.2	186.3	199.3	218.1		127.8	334.4	279.1	130.9	137.5	292.7	352.7	
5. — manufacturing[5]	124.3	135.1	144.2	152.6		143.9	149.9	149.8	167.0	160.0	169.8	162.9	
6. Employment in transportable goods industries[2,5] *(thousands)*	160.0	167.3	173.0	177.8		173.5	175.8	179.5	182.3	181.2	183.5	185.1	
7. No. of males engaged in farm work *(thousands, 1st June)*	382.8	380.0	360.8	354.9	344.3								
8. Unemployment (registered) *(thousands)*	52.7	46.8	46.5	50.2		64.6	49.9	37.4	48.9	59.9	46.9	38.0	
9. Unemployment as percentage of insured labour force (per cent).	6.7	5.7	5.7	6.1		7.5	6.2	5.0	5.5	6.7	5.7	4.8	
10. Net outward passenger movement by sea and air[3] *(thousands)*	−43	−27	−21	−22		−27	+23	−36	+18	−18	+11	−37	
11. Average hours worked per week in transportable goods industries (number)[4]	45.0	44.6	44.5	44.6		43.6	44.3	44.6	44.8	44.0	44.6	44.2	
12. Value of average weekly retail sales *(1961 = 100)*		100	107	113		101	113	115	125	109	123	128	
13. New private cars, registered for first time[5] *(thousands)*	27.9	28.6	31.9	37.0	41.2	9.4	11.0	9.3	7.4	10.0	12.8	10.2	8.2

1. Net output, adjusted for stock changes, excluding turf.
2. Quarterly figures are for March, June, September and December. Annual figures are averages.
3. " + " indicates a net inward movement.
4. Annual figures are for September; quarterly figures relate to March, June, September and December.
5. For items 3, 4, 5 and 6 the 1963 figures are provisional; for item 13 the figures for 1964 (annual and quarterly) are provisional.

Source: Irish Trade Journal and Statistical Bulletin, and OECD General Statistics.

TABLE III. PRICES AND WAGES

	1960	1961	1962	1963	1964	1963 1st QTR.	1963 2nd QTR.	1963 3rd QTR.	1963 4th QTR.	1964 1st QTR.	1964 2nd QTR.	1964 3rd QTR.	1964 4th QTR.
1. Consumer prices[1] *(mid-August 1953 = 100)*	117.0	120.2	125.3	128.4	137.0	127.7	127.4	127.3	131.2	131.9	137.1	138.8	140.3
2. *Of which,* food prices[1] *(mid-August 1953 = 100)*	116.5	120.6	123.2	125.0	132.8	126.1	124.6	123.2	126.1	126.7	132.8	134.7	137.1
3. Wholesale prices *(1953 = 100)*	112.9	114.7	118.3	119.8		119.2	119.8	119.8	120.1	123.4	127.3	128.0	
4. Agricultural prices *(1953 = 100)*	99.6	100.0	101.7	102.2		102.0	102.2	101.1	103.4	108.0	112.8	113.8	
5. Store cattle prices (1-2 year olds) (Average monthly prices at fairs, £ per head)	34.8	36.3	39.3	38.9		38.6	39.8	38.8	38.1	42.1	45.3	47.2	47.7
6. Industrial prices *(1953 = 100)*	114.4	116.4	120.8	122.4		121.9	122.1	122.5	123.2	125.0	128.1	129.2	
of which:													
— simply transformed	105.9	106.1	107.1	107.4		107.5	107.0	107.1	108.0	108.1	109.5	110.7	
— more elaborately transformed	117.4	120.2	125.8	128.0		127.3	127.7	128.2	128.9	131.3	135.1	136.1	
7. Average hourly earnings in transportable goods industries[2] *(October 1953 = 100)*	137.3	145.3	164.4	169.8		165.4	168.8	169.8	171.9	182.8	191.9	191.9	
8. Minimum weekly wages in agriculture[3] *(1953 = 100)*	134.7	142.0	150.3	150.3		150.3	150.3	150.3	156.7[4]	156.7	178.2[5]	178.2	178.2

1. Quarterly figures for February, May, August and November.
2. Annual figures for September, others for March, June, September and December.
3. October in each year - annual figure.
4. Effective from 30th December, 1963.
5. Effective from 1st June, 1964.

Source: Irish Trade Journal and Statistical Bulletin.

TABLE IV. MONEY AND BANKING

	1960	1961	1962	1963	1964	1963 1st QTR.	1963 2nd QTR.	1963 3rd QTR.	1963 4th QTR.	1964 1st QTR.	1964 2nd QTR.	1964 3rd QTR.	1964 4th QTR.
1. Currency circulation[1] *(£ million) (average of Saturdays)*	79.1	84.0	90.1	94.1	105.0	94.1	95.6	98.9	103.9	105.0	105.8	109.5	
2. Discount rate of Central Bank[2] *(per cent)*	$4^{5}/_{8}$	$5^{9}/_{16}$	$3^{55}/_{64}$	$3^{63}/_{64}$		$4^{1}/_{32}$	$3^{61}/_{64}$	$3^{15}/_{16}$	$3^{63}/_{64}$	$4^{35}/_{64}$	$4^{11}/_{16}$	$4^{57}/_{64}$	$6^{13}/_{16}$
3. Price of 3.50 per cent Exchequer Bonds[3] *(per £ 100 stock)*	85.1	82.6	84.1	88.6	88.1	87.8	88.8	89.9	89.9	88.8	88.8	87.6	87.8
4. Price index number of ordinary stocks and shares *(1953 = 100)*	157.9	187.0	214.2	261.3	325.5	244.0	258.2	258.8	284.1	311.0	328.2	332.8	330.0
Commercial Banks[2]:													
5. Current accounts *(£ million)*	138.6	147.9	160.9	180.5	202.6	150.1	168.2	168.4	180.5	195.5	187.9	192.3	202.6
6. Deposit accounts *(£ million)*	210.7	226.2	242.4	242.3	257.4	245.5	243.8	246.2	242.3	245.9	250.4	254.1	257.4
7. Bills *(£ million)*	6.7	13.8	13.0	16.5	16.1	14.1	20.4	21.3	16.5	22.9	27.9	26.1	16.1
8. Loans and advances *(£ million)*	189.7	199.2	218.7	238.1	274.0	223.4	231.5	234.6	238.1	244.0	260.1	262.3	274.0
9. Net external assets *(£ million)*	103.6	111.4	115.1	101.9	93.4	112.7	102.9	107.0	101.9	98.1	86.7	94.4	93.4
10. Ratio of external assets to deposits *(per cent)*	29.7	29.8	28.5	24.1	20.3	28.5	25.0	25.8	24.1	22.2	19.8	21.1	20.3

1. Annual figures for March, others for March, June, September and December.
2. End of period.
3. Annual figures are monthly averages, quarterly figures are for March, June, September and December.

Source: Quarterly Statistical Bulletin of the Central Bank of Ireland, Irish Trade Journal and Statistical Bulletin.

TABLE V. FOREIGN TRADE AND PAYMENTS

	1960	1961	1962	1963	1964	1963 1st QTR.	1963 2nd QTR.	1963 3rd QTR.	1963 4th QTR.	1964 1st QTR.	1964 2nd QTR.	1964 3rd QTR.	1964 4th QTR.
1. Imports *(£ million)* (monthly average)	18.9	21.8	22.8	25.6		23.1	26.7	23.3	29.2	29.2	30.4	27.1	29.1
2. Exports *(£ million)* (monthly average)	12.7	15.0	14.5	16.3	18.5	14.4	15.9	17.7	17.4	18.6	17.7	19.1	18.8
3. Trade balance *(£ million)* (monthly average)	−6.1	−6.7	−8.3	−9.2		8.8	10.8	5.6	11.8	10.6	12.7	7.9	10.2
4. Volume of imports *(1953 = 100)*	114.4	130.9	137.2	151.3		136.7	157.5	136.6	170.5	169.6	175.6	155.9	
5. Volume of exports *(1953 = 100)*	130.2	155.6	149.1	164.5		145.4	159.8	177.0	172.8	180.6	164.8	177.4	
6. Import prices[1] *(1953 = 100)*	106.6	107.7	107.6	109.4		109.4	109.5	110.4	110.8	111.5	111.9	112.3	
7. Export prices[1] *(1953 = 100)*	102.2	101.0	101.9	103.9		103.4	104.2	104.6	105.2	107.9	112.4	112.9	
8. Terms of trade[1] *(1953 = 100)*	95.9	93.8	94.7	94.9		94.5	95.1	94.7	94.9	96.7	100.5	100.6	
9. Total external assets *(£ million)* (end of period)	209.9	224.5	234.0	236.9	242.1	234.1	223.6	332.7	236.9	240.8	230.5	240.6	242.1
of which:													
— Central Bank	89.2	95.9	104.3	119.4	147.9	101.3	105.1	110.1	119.4	127.3	140.5	145.4	147.9
— Associated banks (net)	103.6	111.4	115.1	101.9	93.4	112.7	102.9	107.0	101.9	98.1	86.7	94.4	93.4
— Departmental funds	17.1	17.2	14.6	15.6	0.8	20.1	15.6	15.6	15.6	15.4	3.3	0.8	0.8

1. Quarterly figures are averages of three months.

Source: Irish Trade Journal and Statistical Bulletin, Quarterly Statistical Bulletin of the Central Bank of Ireland.

O.E.C.D. SALES AGENTS
DÉPOSITAIRES DES PUBLICATIONS DE L'O.C.D.E.

ARGENTINA - ARGENTINE
Editorial Sudamericana S.A.,
Alsina 500, BUENOS AIRES.

AUSTRALIA - AUSTRALIE
B.C.N. Agencies Pty, Ltd.,
62 Wellington Parade, East MELBOURNE, C.2.

AUSTRIA - AUTRICHE
Gerold & Co., Graben 31, WIEN 1.
Sub-Agent : GRAZ : Buchhandlung Jos. A. Kienreich, Sackstrasse 6.

BELGIUM - BELGIQUE
N.V. Standaard-Boekhandel,
Huidevettersstraat 57, ANVERS.
BRUXELLES : Librairie des Sciences (R. Stoops), 76-78, Coudenberg.

BRAZIL - BRÉSIL
Livraria Agir Editôra,
Rua Mexico 98-B, RIO DE JANEIRO.

CANADA
Queen's Printer - Imprimeur de la Reine, OTTAWA.
Prepayment of all orders required.
Les commandes sont payables d'avance.

DENMARK - DANEMARK
Munksgaard Boghandel, Ltd., Nörregade 6, KOBENHAVN K.

FINLAND - FINLANDE
Akateeminen Kirjakauppa, Keskuskatu 2, HELSINKI.

FORMOSA - FORMOSE
Books and Scientific Supplies Services, Ltd.
P.O.B. 83, TAPEI.
TAIWAN.

FRANCE
Bureau des Publications de l'O.C.D.E.,
2, rue André-Pascal, PARIS (16e).
Principaux sous-dépositaires :
PARIS : Presses Universitaires de France, 49, bd Saint-Michel, 5e
Librairie de Médicis, 3, rue de Médicis, 6e
Sciences Politiques (Lib.), 30, rue Saint-Guillaume, 7e
La Documentation Française, 16, rue Lord Byron, 8e
BORDEAUX : Mollat.
GRENOBLE : Arthaud.
LILLE : Le Furet du Nord.
LYON IIe : L. Demortière.
MARSEILLE : Maupetit.
STRASBOURG : Berger-Levrault.

GERMANY - ALLEMAGNE
Deutscher Bundes-Verlag G.m.b.H.
Postfach 9380, 53 BONN.
Sub-Agents : BERLIN 62 : Elwert & Meurer.
MÜNCHEN : Hueber, HAMBURG : Reuter-Klöckner; und in den massgebenden Buchhandlungen Deutschlands.

GREECE - GRÈCE
Librairie Kauffmann, 21, rue du Stade, ATHÈNES.

ICELAND - ISLANDE
Snæbjörn Jónsson & Co., h.f., Hafnarstræti 9,
P.O. Box 1131, REYKJAVIK.

INDIA - INDE
International Book House Ltd.,
9 Ash Lane, Mahatma Gandhi Road, BOMBAY 1.
Oxford Book and Stationery Co. :
NEW DELHI, Scindia House.
CALCUTTA, 17 Park Street.

IRAQ - IRAK
Hamid Abdul Karim
Shorja Bldg, Shorja,
P.O.B. 419, BAGHDAD.

IRELAND - IRLANDE
Eason & Son, 40-41 Lower O'Connell Street, DUBLIN.

ISRAEL
Blumstein's Bookstores Ltd.,
35 Allenby Road, and 48 Nahlath Benjamin St., TEL-AVIV.

ITALY - ITALIE
Libreria Commissionaria Sansoni
Via Lamarmora 45, FIRENZE.
Via Paolo Mercuri 19/B, ROMA.
Corso Cavour 93, BARI.
Sous-Dépositaires : GENOVA : Libreria Di Stefano. MILANO : Libreria Hœpli. NAPOLI : Libreria L. Cappelli. PADOVA : Libreria Zannoni. PALERMO : Libreria C. Cicala Inguaggiato. ROMA : Libreria Rizzoli, Libreria Tombolini. TORINO : Libreria Lattes.

JAPAN - JAPON
Maruzen Company Ltd.,
6 Tori-Nichome Nihonbashi, TOKYO.

KENYA
New Era Publications
Ghale House. Government Road,
P.B. 6854.
NAIROBI.

LEBANON-LIBAN
Redico
Immeuble Edison, Rue Bliss, B.P. 5641,
BEYROUTH.

LUXEMBOURG
Librairie Paul Bruck
33, Grand' Rue,
LUXEMBOURG.

MOROCCO - MAROC
Éditions La Porte, *Aux Belles Images*.
281, avenue Mohammed V, RABAT.

THE NETHERLANDS - PAYS-BAS
Wholesale Agent : Meulenhoff & Co., N.V. Importeurs, Beulingstraat, 2, AMSTERDAM C.
Principal Retailer : W.P. Van Stockum & Zoon, Buitenhof 36, DEN HAAG.

NEW ZEALAND - NOUVELLE ZÉLANDE
Government Printing Office,
20 Molesworth Street (Private Bag), WELLINGTON
and Government Bookshops at
Auckland (P.O.B. 5344)
Christchurch (P.O.B. 1721)
Dunedin (P.O.B. 1104).

NORWAY - NORVÈGE
A/S Bokhjornet, Lille Grensen 7, OSLO.

PAKISTAN
Mirza Book Agency, 65, The Mall, LAHORE 3.

PORTUGAL
Livraria Portugal, Rua do Carmo 70, LISBOA.

SOUTH AFRICA - AFRIQUE DU SUD
Van Schaik's Book Store Ltd.,
Church Street, PRETORIA.

SPAIN - ESPAGNE
Mundi Prensa, Castelló 37, MADRID.
Libreria Bastinos de José Bosch, Pelayo 52, BARCELONA 1.

SWEDEN - SUÈDE
Fritzes, Kungl. Hovbokhandel,
Fredsgatan 2, STOCKHOLM 16.

SWITZERLAND - SUISSE
Librairie Payot, 6, rue Grenus, 1211 GENÈVE, 11 et à LAUSANNE, NEUCHATEL, VEVEY, MONTREUX, BERNE, BALE et ZURICH.

TURKEY - TURQUIE
Librairie Hachette, 469 Istiklal Caddesi, Beyoglu, ISTANBUL et 12 Ziya Gökalp Caddesi, ANKARA.

UNITED KINGDOM ROYAUME-UNI
H.M. Stationery Office, P.O. Box 569, LONDON, S.E.I.
Branches at : EDINBURGH, BIRMINGHAM, BRISTOL, MANCHESTER, CARDIFF, BELFAST.

UNITED STATES OF AMERICA
McGraw-Hill Book Company, O.E.C.D.-Unit,
TMIS Annex, 351 West 41st Street,
NEW YORK 36, N.Y.

YUGOSLAVIA - YOUGOSLAVIE
Jugoslovenska Knjiga, Marsala Tita, 23, P.O.B. 36, BEOGRAD.

Les commandes provenant de pays où l'O.C.D.E. n'a pas encore désigné de dépositaire peuvent être adressées à :
O.C.D.E., Bureau des Publications, 2, rue André-Pascal, Paris (16e).
Orders and inquiries from countries where sales agents have not yet been appointed may be sent to
O.E.C.D., Publications Office, 2, rue André-Pascal, Paris (16e).

O.E.C.D. PUBLICATIONS, 2, rue André-Pascal, Paris XVIe. No. 18.691. *PRINTED IN FRANCE.*

ECONOMIC SURVEYS

Each year the OECD publishes a series of economic surveys by Member countries.

The series for 1964-1965 will include surveys on the following countries (those marked * have already been issued).

AUSTRIA
BELGIUM AND LUXEMBOURG
CANADA *
DENMARK *
FRANCE
GERMANY *
GREECE
ICELAND *
IRELAND *
ITALY *
JAPAN
NETHERLANDS
NORWAY
PORTUGAL
Socialist Federal Republic of YUGOSLAVIA
SPAIN
SWEDEN
SWITZERLAND *
TURKEY
UNITED KINGDOM
UNITED STATES *

	£ s.	U.S. $	F	Sw. F.	DM
Price for each issue :	*—5*	*0.80*	*3*	*3*	*2.50*
Subscription price for series :	*3.3*	*10.*	*42*	*42*	*35*

ORGANISATION FOR ECONOMIC CO-OPERATION AND DEVELOPMENT